

# PERFORMANCE REIMAGINED

*The Complete Guide to Redesigning Performance Management for a  
World That Demands Continuous Growth*

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**MAYUR N KOIKAR**

The HR Mastery Series™ by Mayur N Koikar — Book 6

Performance Reimagined™

The Complete Guide to Redesigning Performance Management for a World That Demands Continuous Growth

Part of The HR Mastery Series™ by Mayur N Koikar

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*To every manager who ever sat in a calibration meeting wondering if any of this was actually fair.*

*And to every employee who received a performance rating that bore no resemblance to the year they actually had. You deserved better. This book is part of building the system that delivers it.*

*"The annual performance review is one of the most costly and least effective management practices in existence. It consumes enormous time, damages relationships, and produces almost no improvement in organizational performance."*

— Edward Lawler III, Distinguished Professor, USC Marshall School of Business

*"Feedback is the breakfast of champions — but only if it is specific, timely, and honest. Most organizational feedback is none of these things."*

— Ken Blanchard, Author of The One Minute Manager Foreword

## *Preface*

# TABLE OF CONTENTS

Why I Wrote This Book ..... 1

The \$2.4 Trillion Problem Nobody Wants to Solve ... 4

## **THE DIAGNOSIS — WHY PERFORMANCE MANAGEMENT IS BROKEN**

The Annual Review — How We Got Here and Why It Stopped Working ... 9

The Real Cost of Getting Performance Wrong ... 17

What Great Performance Management Actually Looks Like ... 26

## **THE FOUNDATION — THE PACE SYSTEM™**

Purpose — Connecting Individual Work to Organizational Meaning ... 36

Alignment — Goals, OKRs, and the Art of Setting the Right Targets ... 42

Conversation — The Engine That Drives Performance ... 50

Evaluation — Assessment, Ratings, and Decisions That Are Actually Fair ... 58

## **THE PRACTICE — MAKING IT WORK IN THE REAL WORLD**

Building Manager Capability — The Human Variable ... 67

Managing Underperformance Without Losing Your Soul ... 75

Calibration — The Most Important Meeting Nobody Does Well ... 83

Recognition, Reward, and the Performance-Pay Link ... 90

## **THE FUTURE — AI, TECHNOLOGY, AND NEXT-GENERATION PERFORMANCE**

AI-Powered Performance Management — Opportunity and Risk ... 98

The Performance Technology Stack ... 105

Building a High-Performance Culture ... 112

Designing and Implementing Your Performance Reimagination ... 118

Performance Is a System, Not an Event ... 127

Appendix A ..... 129

Appendix B ..... 132

Appendix C ..... 135

Appendix D ..... 137

Appendix E ..... 139

Glossary ..... 144

Bibliography ..... 146

Index ..... 148

About the Author ..... 149

INDEX ..... 151





# Why I Wrote This Book

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I have spent years watching organizations inflict performance management on their people.

That is not too strong a word. Inflict. Because that is what the annual performance review — in all its variations, under all its names — does to the people who are subjected to it. It reduces a year of complex, nuanced, often extraordinary human effort to a number on a rating scale and a ranking in a forced distribution. It delivers feedback that is, by design, too late to change anything and too general to mean anything. It creates conversations that both managers and employees dread, avoid, and dismiss the moment they are over. And then it produces outputs — the ratings, the rankings, the development plans — that, research consistently shows, correlate poorly with actual performance and predict future performance barely better than chance.

I have sat in calibration rooms and watched managers defend ratings they did not believe in because the curve required it. I have seen talented people leave organizations because their manager's subjective impression of their "executive presence" outweighed six months of exceptional delivery in the rating they received. I have watched employees complete development plans that nobody looked at again after the annual review cycle was closed.

I have also seen performance management done brilliantly. I have worked with organizations that have replaced the annual review with a system of genuine, frequent, high-quality conversations between managers and their teams — conversations that are forward-looking as well as backward-looking, that are specific and honest, that connect individual effort to organizational purpose, and that produce real changes in behavior and real improvements in performance. These organizations are not outliers. They are proof that the problem is not performance management itself — it is the way we have been doing it.

This book is the guide I wish had existed when I was trying to redesign performance management for the first time. It covers everything: the science behind why the annual review fails, the principles of what works instead, the practical tools for redesigning the system, the capability development required to make it land, the technology that can support it, and the cultural conditions that make it sustainable. At its core is The PACE System™ — a practical framework for Performance, Alignment, Conversation, and Evaluation that integrates everything the research tells us about what great performance management actually looks like.

If you are reading this because you are responsible for performance management in your organization and you know it is not working — this book is for you. If you are a manager who wants to have genuinely useful conversations with your team about their work and their development — this book is for you. If you are a senior leader who wants to understand why your organization's investment in performance management is not producing the results you need — this book is for you.

Performance management is one of the most powerful levers for organizational effectiveness available to leaders and HR professionals. Used well, it aligns effort, accelerates development, and builds the culture of high performance that sustains competitive advantage. The gap between what it is in most organizations and what it could be is the gap this book is written to close.

## **Mayur N Koikar**

Author, The HR Mastery Series™ Acknowledgements

To the managers who took the feedback conversation seriously — who prepared, who listened, who followed through — thank you for modeling what this book is about.

To the employees who were honest about what it felt like to be on the receiving end of performance management done poorly. Your experience is the reason this book matters.

To the HR professionals who had the courage to redesign performance management in their organizations — who pushed back on the annual review, built new systems, trained managers, and measured the results. Your experiments are the evidence base

for this field.

To the researchers and practitioners whose rigorous work underpins so much of what is in these pages — Marcus Buckingham, Ashley Goodall, Sam Culbert, Liz Wiseman, Daniel Pink, Robert Cialdini, and the teams at the Corporate Executive Council (now Gartner) who produced landmark research on performance management effectiveness.

Introduction

# The \$2.4 Trillion Problem Nobody Wants to Solve

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*"Most performance management systems are not just ineffective — they actively make performance worse. They demoralize employees, create perverse incentives, consume enormous management time, and produce outcomes that bear little relationship to actual performance."*

— Corporate Executive Council Research, 2012 (now Gartner)

Here is a number worth sitting with: research by Gallup estimates that poor performance management costs the US economy alone approximately \$960 billion per year in lost productivity, employee disengagement, and preventable turnover. Scale that to the global economy, and the figure exceeds \$2.4 trillion annually.

This is not a niche problem. It is one of the largest preventable economic losses in the world, created entirely by the way organizations manage — or fail to manage — the performance of their people.

The evidence about what is wrong is overwhelming. The Corporate Executive Council (now Gartner) found that traditional performance management practices actually decrease performance by an average of five to ten percent in most organizations. Deloitte's 2015 global human capital survey found that fifty-eight percent of executives believed their current performance management approach drove neither employee engagement nor high performance. A 2019 McKinsey study found that only two percent of organizations reported that their performance management system delivered its intended value. As recently as 2024, Gallup research showed that only fourteen percent of employees strongly agree that their performance reviews inspire them to improve.

And yet most organizations keep running the same system. The same annual review. The same five-point rating scale. The same calibration process. The same development plans that nobody reads. Because changing it is hard, because the HR

function does not have the mandate, because leadership is worried about pay decisions without ratings, because legal is worried about evidence of performance documentation, or simply because it is the system that has always existed and changing it would require a level of organizational will that is easier to defer than to generate.

This book is the manual for generating that will — and executing the change successfully.

## **What This Book Gives You**

Performance Reimagined™ is not a polemic against the annual review. It is a practical guide to building something better. Specifically, it gives you:

The evidence you need to make the case for change. Chapter 1 and Chapter 2 provide the research-based argument for why the current system fails and what the cost of that failure is, in language that business leaders and finance directors will find compelling.

The PACE System™ — a practical, field-tested framework for redesigning performance management. PACE stands for Purpose, Alignment, Conversation, and Evaluation — the four components that the research identifies as the essential building blocks of a performance management system that actually improves performance. Each component is covered in dedicated chapters with practical tools, templates, and implementation guidance.

A complete implementation guide. Chapter 15 provides a structured roadmap for redesigning performance management in your organization — from diagnostic to design to pilot to full rollout — including how to manage the change, how to build manager capability, and how to measure whether it is working.

AI integration at every stage. Rather than treating AI as a separate topic, this book shows you how AI tools can enhance every component of the PACE System — from AI-assisted goal drafting and coaching conversation prompts to bias detection in ratings and predictive analytics for performance risk. Chapter 12 provides a dedicated detailed review.

Real case studies. Each major section includes a composite case study drawn from recognizable organizational patterns — a technology company replacing stack ranking, a retail organization building manager conversation skills at scale, a financial services firm redesigning calibration, a healthcare system implementing continuous feedback. These are teaching cases, not vendor testimonials.

## **The PACE System™ — An Overview**

### **The PACE System™ — Four Components of Effective Performance Management**

P — PURPOSE: Every person in the organization understands how their work connects to the organization's mission and to what the team is trying to achieve. Purpose is not a values poster — it is the daily experience of meaning in work. Without it, performance management is goal compliance rather than genuine contribution. A — ALIGNMENT: Goals are set collaboratively, are genuinely stretching but achievable, and connect individual contribution to team and organizational priorities. Alignment uses structured frameworks (OKRs, SMART+, cascading goals) and includes AI-assisted drafting tools that improve goal quality before the conversation begins. C — CONVERSATION: Frequent, high-quality, two-way conversations between managers and their teams are the engine of the system. Not check-box meetings — genuine coaching conversations about work quality, development, obstacles, and future direction. These happen weekly or fortnightly, not annually. E — EVALUATION: Fair, evidence-based assessment of contribution and potential, calibrated across the organization to reduce bias and ensure consistency. Evaluation is periodic (not annual), forward-looking as well as backward-looking, and feeds into development and reward decisions through a clear, transparent process.

## **Who This Book Is For**

This book is written for HR leaders, HR business partners, and senior managers who have responsibility for designing, improving, or implementing performance management in their organizations. It assumes you know what performance management is — you do not need the basics. What you need is a coherent, evidence-based, practically executable alternative to what most organizations are currently doing.

It is also written for managers who want to have genuinely useful performance conversations with their teams. Part III — particularly Chapters 8, 9, and 10 — will be directly valuable to any manager who is serious about improving the quality of their people conversations.

And it is written for senior leaders — CEOs, CFOs, COOs — who are responsible for organizational performance and who want to understand why their current investment in performance management is not producing the results they expect.

## **How to Use This Book**

Read Part I (Chapters 1-3) to build your case for change. These chapters give you the evidence, the cost analysis, and the vision of what great looks like.

Read Part II (Chapters 4-7) to understand The PACE System™ in depth. These are the conceptual and design chapters — the what and the why.

Read Part III (Chapters 8-11) for the practical execution skills — how to build manager capability, manage underperformance, run calibration, and connect performance to reward.

Read Part IV (Chapters 12-15) for the future-facing dimensions — AI tools, technology selection, culture, and your complete implementation roadmap.

Use the Appendices throughout. The templates, guides, and diagnostic tools are designed to be used in your work, not just read.

Your organization's performance management system is probably not working as well as it should. This book shows you exactly what to do about it. Let's begin.

## PART I

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# THE DIAGNOSIS — WHY PERFORMANCE MANAGEMENT IS BROKEN

*Before you can fix performance management, you need to understand precisely why it fails — not in general terms, but specifically, mechanically, and with enough evidence to make the case for change to any stakeholder who pushes back. Part I gives you that understanding.*

### *Chapter 1*



# The Annual Review — How We Got Here and Why It Stopped Working

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*"We looked at the data and found we were spending close to two million hours per year on performance reviews. And we weren't getting anything useful out of it."*

— Donna Morris, former CHRO, Adobe Systems — on the decision to eliminate annual reviews

## *Ashgrove Systems: The Bell Curve That Broke Engineering*

Ashgrove Systems forced-ranks its 2,200 employees every December into a bell curve: 15 percent top-rated, 70 percent middle, 15 percent bottom, regardless of what any individual team actually achieved that year. This December, an engineering pod that shipped Ashgrove's most successful product launch in three years still had to place two of its six members in the bottom category, because the curve is applied per team, not per company. Both employees, told their individually strong performance didn't matter because of where they sat in a forced distribution, resign within the month. Naomi Castellano, VP of Talent, has flagged this exact scenario to leadership twice before. This time, the departing team's director forwards her resignation email to the CEO with one line: "This is the third time this system has cost us our best people. When do we fix it?"

## *Performance Failure Story: The Forced Curve That Punished a Winning Team*

A mid-size professional services firm applied a strict forced-distribution rating system uniformly across all teams, regardless of team-level performance variance. A newly formed team that significantly outperformed its targets in its first year still had to rank two of its members in the bottom tier, purely because the curve required it. Both left within the quarter, one joining a direct competitor. Exit interviews cited the same complaint: individual excellence had been overridden by a statistical

requirement that had nothing to do with their actual contribution. Lesson: forced distributions applied at the team level punish exactly the teams an organization should want to retain — its highest performing units — and reward nothing about actual collective success.

*Decision Tree: Should you eliminate forced ratings?*

Are ratings currently driving compensation and promotion decisions that need some differentiation? -> You likely still need a differentiation mechanism, but not necessarily a forced curve. Is the current distribution applied per-team regardless of that team's actual results? -> This is a structural flaw; fix the unit of comparison before deciding whether to keep ratings at all. Can you calibrate fairly across a broader population (e.g., function-wide) instead of forcing each small team individually? -> Broaden the calibration unit before eliminating ratings outright. If differentiation is needed but a forced curve keeps producing cases like Ashgrove's -> Move to calibrated, evidence-based ratings without a mandated distribution shape (see Chapter 7).

*Your Downloadable Resource: The Rating System Diagnostic*

A quick check for whether your current rating system is structurally sound. Is the distribution requirement applied at the team level, company level, or function level?

Has a high-performing team ever been forced to rate a strong contributor poorly purely to meet the curve? Do managers openly admit to gaming ratings to protect valued employees from the curve? If any answer reveals structural unfairness, the system needs redesign, not better manager training on how to deliver bad news.

*Manager Mistake: Blaming the Manager, Not the System*

When a forced-curve rating damages a strong performer's morale, organizations often respond by coaching managers to "deliver the message better," rather than questioning whether the distribution requirement itself is defensible. No amount of delivery skill fixes an outcome that was structurally unfair before the conversation even began.

*AI in Action: Auditing Historical Rating Patterns*

AI tools can quickly analyze years of historical rating data to reveal whether forced distributions have disproportionately affected specific teams, functions, or demographic groups — surfacing patterns a manual review would take months to find. Use this analysis to build the business case for reform, but keep the actual redesign decision — what replaces the forced curve — a human, cross-functional judgment call.

*Visual Framework: The Forced-Ranking Damage Map*

## **VISUAL FRAMEWORK: THE FORCED-RANKING DAMAGE MAP**

Team Outperforms, Curve Still Forces Bottom-Tier Ratings: Highest-retention-risk scenario — your best teams lose people for structural, not performance, reasons.

Manager Games the System to Protect Valued Staff: Erodes trust in the entire rating process once discovered, for everyone, not just the protected employee.

Employee Rated Fairly on Merit, Independent of Team Curve: The target state — differentiation based on evidence, not a mandated shape.

*Monday Morning Action Plan*

## **MONDAY MORNING ACTION PLAN**

1. Pull your last two years of rating distribution data by team, not just company-wide.
2. Identify any case where a high-performing team was forced to rate someone poorly by the curve.
3. Ask three managers, confidentially, whether they've ever gamed ratings to protect someone.
4. Calculate the retention cost of your highest-profile forced-curve departure this year.
5. Draft a one-page case for leadership on whether your current distribution rule is defensible.
6. Identify who would need to sign off on redesigning the rating distribution approach.

7. Read Chapter 7 (Evaluation) before proposing a specific alternative system.
8. Benchmark how many peer organizations still use a mandated forced distribution.
9. List every exit interview in the last year that cited the rating system as a factor.
10. Schedule time with your CFO or finance partner to discuss compensation-differentiation needs separately from the rating distribution question.

The annual performance review did not emerge from research showing it was an effective way to improve performance. It emerged from military ranking systems, wartime workforce management practices, and the management philosophy of the early twentieth century industrial organization — an environment in which most workers performed repetitive, measurable tasks under close supervision, and in which the primary purpose of performance evaluation was not development but selection: identifying who to promote, who to keep, and who to let go.

General Electric's Jack Welch popularized the model that came to define corporate performance management for three decades: the forced distribution, or "rank and yank" system, in which every employee was annually ranked relative to peers, the top twenty percent were rewarded and celebrated, the middle seventy percent were retained and managed, and the bottom ten percent were let go. GE under Welch was enormously successful — for a period — and the performance management system was credited with that success.

What was less well publicized was the research that followed. Studies of forced distribution systems consistently found that they damaged collaboration, incentivized political behavior over genuine performance, created a culture of fear that suppressed the risk-taking required for innovation, and produced rating outcomes that correlated poorly with actual contribution. GE itself abandoned the system in 2016, joining a long list of organizations that had adopted it and later reversed course.